

24STCV31436 24STCV31436

County: los-angeles

Division: Civil Law and Motion

Department: 413

Hearing date: 2026-08-13

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Case Number: 24STCV31436 Hearing Date: August 13, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 08/13/2026

CASE NUMBER: 24STCV31436

CASE NAME: DIRECT COUNSEL, LLC, vs FARAHI LAW FIRM, et al.

MOVING PARTY: Defendants Farahi Law Firm,
APC and Justin Farahi

OPPOSING PARTY: Plaintiff Direct Counsel, LLC

PROCEEDING: Demurrer with motion to strike

RULING SUMMARY: Defendants Farahi Law Firm, APC and Justin Farahi's Demurrer to the First Cause of Action (Breach of Contract), Second Cause of Action (Breach of Implied Contract in the Alternative), Third Cause of Action (Breach of the Implied Covenant of Good Faith and Fair Dealing), and Fifth Cause of Action (Quantum Meruit/Unjust Enrichment in the Alternative) is overruled.

Defendants Farahi Law Firm, APC and Justin Farahi's Demurrer to the Fifth Cause of Action (Interference with Prospective Economic Advantage) and Sixth Cause of Action (Fraudulent Concealment/Deceit) is sustained. Plaintiff must seek leave to amend by motion if Plaintiff wishes to file a further amended complaint adding claims.

Defendants Farahi Law Firm, APC and

Justin Farahi's Motion to Strike is denied as to the Fifth and Sixth Causes of Action; granted as to Plaintiff's prayer (paragraph 6 of the Prayer) for punitive damages without leave to amend; granted as to Plaintiff's allegation (in paragraph 78) and prayer (in paragraph 5) for attorneys' fees, without leave to amend; and denied as to alter ego allegations.

Background

On November

27, 2024, plaintiff Direct Counsel, LLC ("Plaintiff") filed its Complaint against defendants Farahi Law Firm, APC ("Farahi Law") and Justin Farahi ("Farahi" and, with Farahi Law, "Defendants"), alleging eight causes of action for (1) Breach of Contract; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Breach of Implied Contract; (4) Fraud; (5) Conversion; (6) Violation of Bus. & Prof. Code § 17200 et seq.; (7) Violation of Pen. Code § 496; and (8) Declaratory Relief.

On

April 18, 2025, the Court sustained Defendants' demurrer to the Complaint with leave to amend.

On

April 28, 2025, Plaintiff filed a First Amended Complaint ("FAC") alleging seven causes of action for (1) Breach of Contract; (2) Breach of Implied Contract — in the alternative; (3) Breach of the Implied Covenant of Good Faith and Fair Dealing; (4) Promissory Fraud; (5) Quantum Meruit/Unjust Enrichment in the alternative; (6) Violation of Bus. & Prof. Code § 17200 et seq.; and (7) Declaratory Relief.

On July

16, 2025, the Court sustained Defendants' demurrer to the First through Fifth Causes of Action with leave to amend, and the Sixth and Seventh Causes of Action without leave to amend.

On July

25, 2025, Plaintiff filed the Second Amended Complaint ("SAC") alleging five causes of action for (1) Breach of Contract; (2) Breach of Implied Contract — in the alternative; (3) Breach of the Implied Covenant of Good Faith and

Fair Dealing; (4) Promissory Fraud; and (5) Quantum Meruit/Unjust Enrichment in the alternative.

On

February 26, 2026, the Court overruled Defendants' demurrer to the First, Second Third, and Fifth Causes of Action, and sustained as to the Fourth Cause of Action. The Court granted leave to amend as to the alter-ego allegations only. The Court also granted Defendants' Motion to Strike regarding punitive damages.

On

March 9, 2026, Plaintiff filed the Third Amended Complaint ("TAC"), alleging six causes of action for (1) Breach of Contract; (2) Breach of Implied Contract in the Alternative; (3) Breach of the Covenant of Good Faith and Fair Dealing; (4) Quantum Meruit/Unjust Enrichment in the Alternative; (5) Intentional Interference with Prospective Economic Advantage; and (6) Fraudulent Concealment/Deceit. The TAC, itself, states that the First through Fourth Causes of Action are those approved by the Court and the Fifth and Sixth Causes of Action are new. (See TAC at 1: 25-27.)

On

April 10, 2026, Defendants filed this Demurrer with Motion to Strike. No Opposition has been filed.

MEET AND CONFER

Before filing a demurrer or motion

to strike, the moving party is required to meet and confer with the party who filed the pleading demurred to, in person or telephonically, to determine whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc. §§ 430.41, 435.5.)

The meet and confer

requirement has been met. (Decl. Farahi at ¶ 5.)

LEGAL

STANDARD

A.

Demurrer

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc. § 430.30(a); Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

B.

Motion to Strike

Any party, within the time allowed to respond to a pleading may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc. § 435(b)(1); Cal. Rules of Court, Rule 3.1322(b).) The court may, upon a motion or at any time in its discretion and upon terms it deems proper: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc. § 436(a)-(b); Stafford v. Shultz (1954) 42 Cal.2d 767, 782 [“Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded”].)

C.

Leave to Amend

“Where the defect raised by a motion to strike or by demurrer is reasonably capable of cure, leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question.” (CLD Construction, Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141, 1146.) “A trial court does not abuse its discretion when it sustains a demurrer without leave to amend if either (a) the facts and the nature of the claims are clear and no liability exists, or (b) it is probable from the nature of the defects and previous unsuccessful

attempts to plead that the plaintiff cannot state a claim.” (Cantu v. Resolution Trust Corp.(1992) 4 Cal.App.4th 857, 889.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Goodman v. Kennedy(1976) 18 Cal.3d 335, 348.)

DISCUSSION

A.

Demurrer

Defendants demur to all causes of action. The Court previously ruled that the demurrers to the First Cause of Action (Breach of Contract), Second Cause of Action (Breach of Implied Contract in the Alternative), Third Cause of Action (Breach of the Implied Covenant of Good Faith and Fair Dealing), and Fifth Cause of Action (Quantum Meruit/Unjust Enrichment in the Alternative) were overruled. Plaintiff has now pled these causes of action as the First through Fourth Causes of Action in TAC. The Court has already ruled upon these causes of action and Plaintiff has pled them in reliance on the Court’s ruling. Therefore, the Court overrules the demurrer as to these causes of action.

1.

New Causes of Action – Fifth Cause of Action (Interference with Prospective Economic Advantage) and Sixth Cause of Action (Fraudulent Concealment/Deceit)

“Following an order sustaining a demurrer or a motion for judgment on the pleadings with leave to amend, the plaintiff may amend his or her complaint only as authorized by the court’s order. [Citation.] The plaintiff may not amend the complaint to add a new cause of action without having obtained permission to do so, unless the new cause of action is within the scope of the order granting leave to amend. [Citation.]” (See Harris v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023 [internal citations omitted].)

The law respects form less than substance. (Civ. Code § 3528.) In Datig v. Dove Books (1999) 73 Cal.App.4th 964, 983 fn. 19, the Court allowed a party to plead a cause of action for rescission of contract after having pleaded a cause of action for breach of contract as, under election of remedies doctrine, it is

an alternative theory. In *Patrick v.*

Alacer Corp (2008) 167 Cal.App.4th 995, 1015, the Court acknowledged the general rule for leave to amend, but found it inapplicable where new cause of action “directly responds” to trial court’s reason for sustaining a demurrer.

The Court has reviewed the new causes of action. They are based upon the previous Fourth Cause of Action in the TAC, though the name of the claim is no longer “promissory fraud.” However, the Court gave leave to amend only regarding the alter-ego allegations. These two new causes of action do not address the alter-ego allegations and, as such, exceed the scope of the Court’s leave to amend.

Accordingly, the demurrer to the Fifth and Sixth Causes of Action on the basis that they exceed the scope of the Court’s leave to amend is sustained.

B.

Motion to Strike

For the reasons explained above, the Court denies Defendants’ motion to strike the Fifth and Sixth Causes of Action. Defendants’ request that Plaintiff’s prayer (paragraph 6 of the Prayer) for punitive damages be stricken is granted without leave to amend, because, as with the prior amended complaint, Plaintiff has failed to allege facts that would support a request for punitive damages. Defendants’ request that Plaintiff’s allegation (in paragraph 78) and prayer (in paragraph 5) for attorneys’ fees be stricken is granted without leave to amend, because plaintiff has not alleged any contractual or statutory provision authorizing a request for fees. Defendants’ request that alter ego allegations be stricken is denied, as Plaintiff has alleged sufficient additional facts to support the allegations regarding alter ego.

Conclusion

Defendants

Farahi Law Firm, APC and Justin Farahi’s Demurrer to the First Cause of Action (Breach of Contract), Second Cause of Action (Breach of Implied Contract in the Alternative), Third Cause of Action (Breach of the Implied Covenant of Good Faith and Fair Dealing), and Fifth Cause of Action (Quantum Meruit/Unjust Enrichment in the Alternative) is overruled.

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Date: 08/13/2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court